ADVANCED FINANCIAL REPORTING I

UNIT 1: PRINCIPLES OF CONSOLIDATED FINANCIAL STATEMENTS

SESSION 4: IFRS 10: CONSOLIDATED FINANCIAL STATEMENTS

Session Objectives

At the end of this session, you should be able to:

1. Define key terms in the standard.
2. Explain the how control is assessed.
3. Outline the provisions of IFRS 10.

Objective

The objective of this IFRS is to establish principles for the presentation and preparation of consolidated financial statements when an entity controls one or more other entities.

To meet the objective, IFRS 10:

- requires an entity (the parent) that controls one or more other entities (subsidiaries) to present consolidated financial statements;
- defines the principle of control, and establishes control as the basis for consolidation;
- sets out how to apply the principle of control to identify whether an investor controls an investee and therefore must consolidate the investee; and
- sets out the accounting requirements for the preparation of consolidated financial statements.

This standard does not deal with the accounting requirements for business combinations and their effect on consolidation, including goodwill arising on a business combination (see IFRS 3 Business Combinations).

Scope

An entity that is a parent shall present consolidated financial statements except the following:

a) a parent need not present consolidated financial statements if it meets all the following conditions:
   - it is a wholly-owned subsidiary or is a partially-owned subsidiary of another entity and all its other owners, including those not otherwise entitled to vote, have been informed about, and do not object to, the parent not presenting consolidated financial statements;
   - its debt or equity instruments are not traded in a public market (a domestic or foreign stock exchange or an over-the-counter market, including local and regional markets);
   - it did not file, nor is it in the process of filing, its financial statements with a securities commission or other regulatory organisation for the purpose of issuing any class of instruments in a public market; and
   - its ultimate or any intermediate parent produces consolidated financial statements that are available for public use and comply with IFRSs.

b) post-employment benefit plans or other long-term employee benefit plans to which IAS 19 Employee Benefits applies.

Key Definitions

Consolidated financial statements: The financial statements of a group in which the assets, liabilities, equity, income, expenses and cash flows of the parent and its subsidiaries are presented as those of a single economic entity.

Control: An investor controls an investee when the investor is exposed, or has rights, to variable returns from its involvement with the investee and has the ability to affect returns through its power over the investee.

Decision-Maker: An entity with decision-making rights that is either a principal or an agent for other parties.

Group: A parent and its subsidiaries.

Investment Entity: An entity that:

- obtains funds from one or more investors for the purpose of providing those investor(s) with investment management services.
- commits to its investor(s) that its business purpose is to invest funds solely for returns from capital appreciation, investment income, or both, and
- measures and evaluates the performance of substantially all of its investments on a fair value basis.

Non-controlling interest: Equity in a subsidiary not attributable, directly or indirectly, to a parent.

Parent: An entity that controls one or more entities.

Power: Existing rights that gave the current ability to direct the relevant activities.

Protective rights: Rights designed to protect the interest of the party holding those rights without giving that party power over the entity to which those rights relate.

Relevant activities: Activities of the investee that significantly affect the investee's returns.

Removal rights: Rights to deprive the decision make of its decision-making authority.

Subsidiary: An entity that is controlled by another entity.

Assessing Control of an Investee
Control
An investor, regardless of the nature of its involvement with an entity (the investee), shall determine whether it is a parent by assessing whether it controls the investee.
An investor controls and investee when it is exposed or has rights, to variable returns from its involvement with the investee and has the ability to affect those returns through its power over the investee.

Thus, an investor controls an investee if and only if the investor has all the following:

- power over the investee;
- exposure, or rights, to variable returns from its involvement with the investee; and
- the ability to use its power over the investee to affect the amount of the investor's returns.

An investor shall consider all facts and circumstances when assessing whether it controls an investee. The investor shall reassess whether it controls an investee if facts and circumstances indicate that there are changes to one or more of the three elements of control listed above.

Two or more investors collectively control an investee when they must act together to direct the relevant activities. In such cases, because no investor can direct the activities without the co-operation of the others, no investor individually controls the investee. Each investor would account for its interest in the investee in accordance with the relevant IFRSs, such as IFRS 11 Joint Arrangements, IAS 28 Investments in associates and Joint Ventures or IFRS 9 Financial Instruments.

Power

An investor has power over an investee when the investor has existing rights that give it the current ability to direct the relevant activities, ie the activities that significantly affect the investee's returns.

Power arises from rights. Sometimes assessing power is straightforward, such as when power over an investee is obtained directly and solely from the voting rights granted by equity instruments such as shares, and can be assessed by considering the voting rights from those shareholdings. In other cases, the assessment will be more complex and requires more than one factor to be considered, for example when power results from one or more contractual arrangements.

An investor with the current ability to direct the relevant activities has power even if its rights to direct have yet to be exercised. Evidence that the investor has been directing relevant activities can help determine whether the investor has power, but such evidence is not, in itself, conclusive in determining whether the investor has power over an investee.

If two or more investors each have existing rights that give them the unilateral ability to direct different relevant activities, the investor that has the current ability to direct the activities that most significantly affect the returns of the investee has power over the investee.

An investor can have power over an investee even if other entities have existing rights that give them the current ability to participate in the direction of the relevant activities, for example when another entity has significant influence. However, an investor that holds only protective rights does not have power over an investee, and consequently does not control the investee.

Returns

An investor is exposed, or has rights, to variable returns from its involvement with the investee when the investor's returns from its involvement have the potential to vary as a result of the investee's performance. The investor's returns can only be positive, only negative or both positive and negative.

Although only one investor can control an investee, more than one party can share in the returns of an investee. For example, holders of non-controlling interest can share in the profits or distributions of an investee.

Link between Power and Returns

An investor controls an investee if the investor not only has power over the investee and exposure or rights to variable returns from its involvement with the investee, but also has the ability to use its power to affect the investor's returns from its involvement with the investee.

Thus, an investor with decision-making rights shall determine whether it is a principal or an agent. An investor that is an agent does not control an investee when it exercises decision-making delegate to it.

Control with Less than a Majority of Voting Rights

Control could also exist when a party has less than a majority of voting rights. The following are examples of instances where control could exist even though less than a majority of voting rights is held:

- A contractual arrangement between the investor and other parties that provides the investor with a right to direct the relevant activities.
- Rights arising from other contractual arrangements. Other decision-making rights together with voting rights might provide the party with the right to direct the relevant activities.
- The extent of the investor's voting rights. Although an investor may not hold the majority of the voting rights, the rights that are held could be so significant as to give it power to have the practical ability to direct the relevant activities unilaterally. This is referred to as de facto control.
- The investor may hold potential voting rights that are substantive. Potential voting rights are rights to obtain voting rights of an investee, such as convertible instruments and options.
  To be substantive, potential voting rights need to be exercisable when decisions about the direction of the relevant activities need to be made. Usually, they must be presently exercisable to be classified as substantial, although sometimes rights may be substantial even if they cannot be exercised at present.

Other arrangements for Control

Control can also exist through other contractual arrangements. This would usually be the case with structured entities.

A structured entity is an entity that has been designed so that voting or similar rights are not the dominant factor in deciding who controls the entity, such as when any voting rights relate to administrative tasks only and the relevant activities are directed by means of contractual arrangements. The assessment of control in such instances is based on the normal principles discussed above as well as an assessment of the special arrangements and the size of the exposure regarding the variability in returns.

In assessing the purpose and design of the structured entity, the risk that was created and passed on to the parties to the arrangement is considered to establish the party's exposure to some or all of the risks. A large exposure to variability in returns might also indicate that the party has power over the entity. Such risk and returns are, however, on their own not conclusive. All facts and circumstances must be considered.

Investment Entities Consolidation Exemption

IFRS 10 contains special accounting requirements for investment entities. Where an entity meets the definition of an 'investment entity', it does not consolidate its subsidiaries, or apply IFRS 3 Business Combinations when it obtains control of another entity.

An entity is required to consider all facts and circumstances when assessing whether it is an investment entity, including its purpose and design. IFRS 10 provides that an investment entity should have the following typical characteristics:

- it has more than one investment
- it has more than one investor
- it has investors that are not related parties of the entity
- it has ownership interests in the form of equity or similar interests.

The absence of any of these typical characteristics does not necessarily disqualify an entity from being classified as an investment entity.

An investment entity is required to measure an investment in a subsidiary at fair value through profit or loss in accordance with IFRS 9 Financial Instruments.

However, an investment entity is still required to consolidate a subsidiary where that subsidiary provides services that relate to the investment entity's investment activities.

Illustration 1
Refer to the Key Definitions and define the following terms:

a) Consolidated financial statements.
b) Control of an investee
c) Investment entity
d) Power
e) Protective rights
f) Relevant activities

Illustration 2
AYEYI Ltd Ltd holds 40% of voting rights of ASEDA Ltd and 12 other investors each hold 5% of the voting rights of ASEDA Ltd. A shareholder agreement grants AYEYI Ltd the right to appoint, remove and set remuneration of management responsible for directing the relevant activities of ASEDA Ltd. To change the agreement, a two-thirds majority vote of the shareholders is required. To date, date AYEYI Ltd has not exercised its rights with regard to the management or activities of ASEDA Ltd.

Required: Explain whether AYEYI Ltd should consolidate ASEDA Ltd in accordance with IFRS 10

Illustration 3
Dzordzi holds 45% of the voting rights of Lorlor. Sam and Eddy each hold 26% of the voting right and the remaining held by three other investors, each holding 1%. There are no other arrangements that affect decision-making.

Required: Explain whether Dzordzi should consolidate Lorlor in accordance with IFRS 10.

Illustration 4
David has a 40% holding in the ordinary shares of Mambo. Another investor has a 10% shareholding in Mambo, whilst the remaining voting rights are held by thousands of shareholders, none of whom individually holds more than 1% of the voting rights. David also holds debt instruments that, as at 30th April 2018 are convertible into ordinary shares of Mambo at a price of GH¢4 per share.

At 30th April 2018, the shares of Mambo trade at GH¢3.80 per share. If the debt was converted into ordinary shares, David could hold 60% of the voting rights in Mambo. David and Mambo undertake similar activities and would benefit from synergies.

Required: Discuss how David's investments in the ordinary shares of Mambo should be treated in the consolidated financial statements for the year ended 30th April 2018.

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Multiple Choice Questions

1. Consolidated financial statements are the financial statements of a group in which the assets, liabilities, equity, income, expenses and cash flows of the parent and its subsidiaries are presented
   a. As those of a single economic entity
   b. In one set of financial statements
   c. Separately
   d. B and C

2. IFRS 10 Consolidated financial statements provides a definition of control and identifies three separate elements of control. Which one of the following is not one of these elements of control?
   a. The power to participate in the financial and operating policies of the investee
   b. Exposure to, or rights to, variable returns from its involvement with the investee
   c. Power over the investee
   d. The ability to use its power over the investee to affect the amount of the investor's returns

3. Are the following statements true or false
   (1) In consolidation, the parent equity capital is added to that of the subsidiary equity capital to arrive at group capital.
   (2) The non-controlling interest in the net assets of subsidiaries is shown as a line item in the equity side of the consolidated statement of financial position.

	Statement (1)	*Statement (2)*
a.	False	False
b.	False	True
c.	True	False
d.	True	True

4. In accordance with IFRS 10 Consolidated Financial Statements, which of the following is/are **not** evidence that an investor controls an investee:

   I. Where the investor has power over the investee.
   II. Where the investor has the ability to use its power over the investee to affect the amount of the investor ‘s returns.
   III. Where the investee has more than 50 percent of the equity shares of the investor.
   IV. Where the investor is exposed or has rights to variable returns from its involvement with the investee.

   a. I only
   b. I, II and III

c. III only
d. I, II and IV